Smart Money Risk Management



KenneDyne spot

Smart Money

DRIVE

RISK MANAGEMENT

This is GOLD | https://t.me/KenneDynespot



SECTION I - Funded Accounts

This section is ideal if your account is above 1K USD

Risk-reward ratio - At least 1:3 RR
Risk - 0.5% of your account per trade
Maximum loss per day - 1% of your account

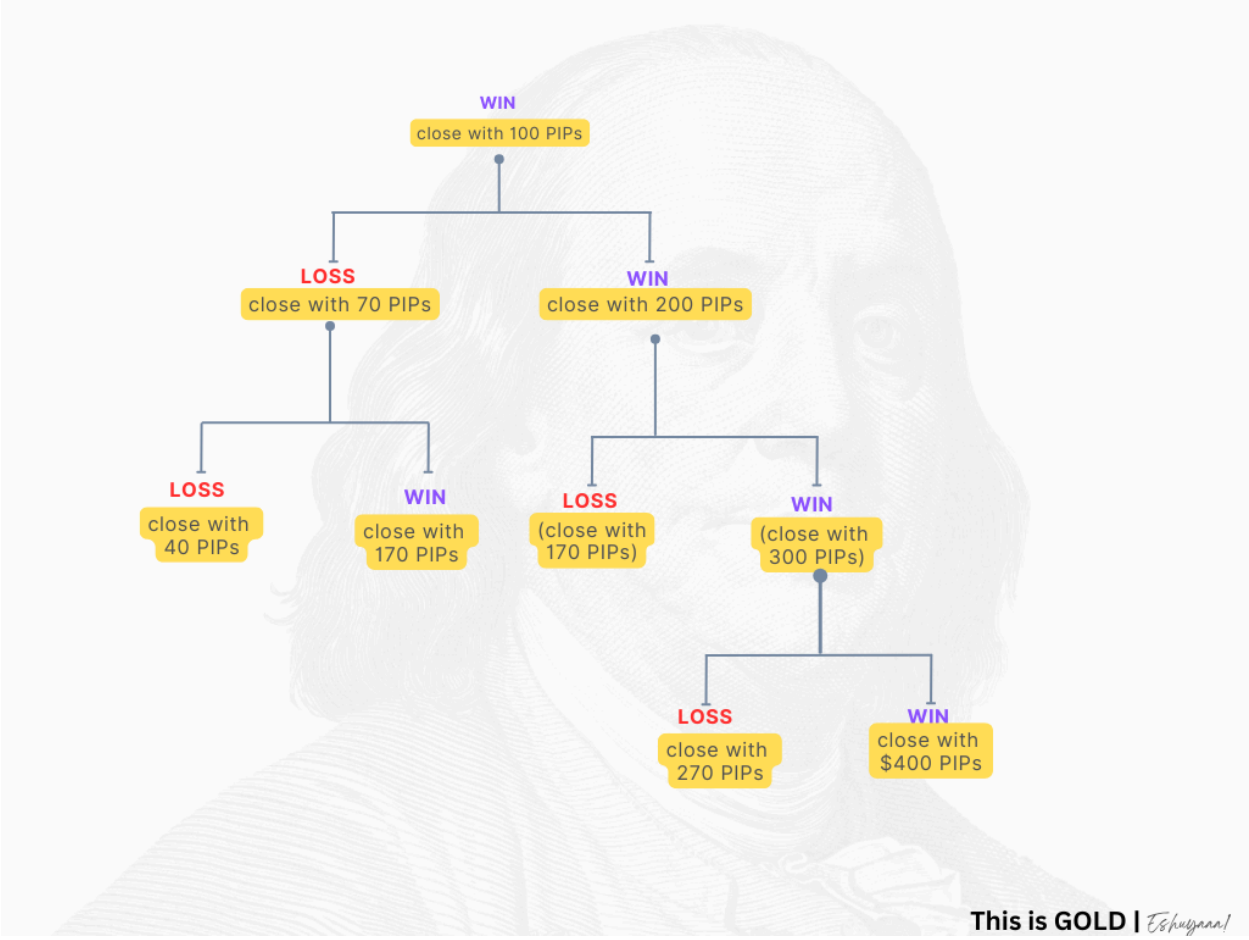
Average risk (Stop Loss) = **30 PIPs**
Average TP (1st TP) = **100 PIPs**
Lot size to use = **(0.5%*Equity)/300** (for #GOLD #XAUUSD)

When you enter a trade, the outcome has 2 probabilities: win or loss

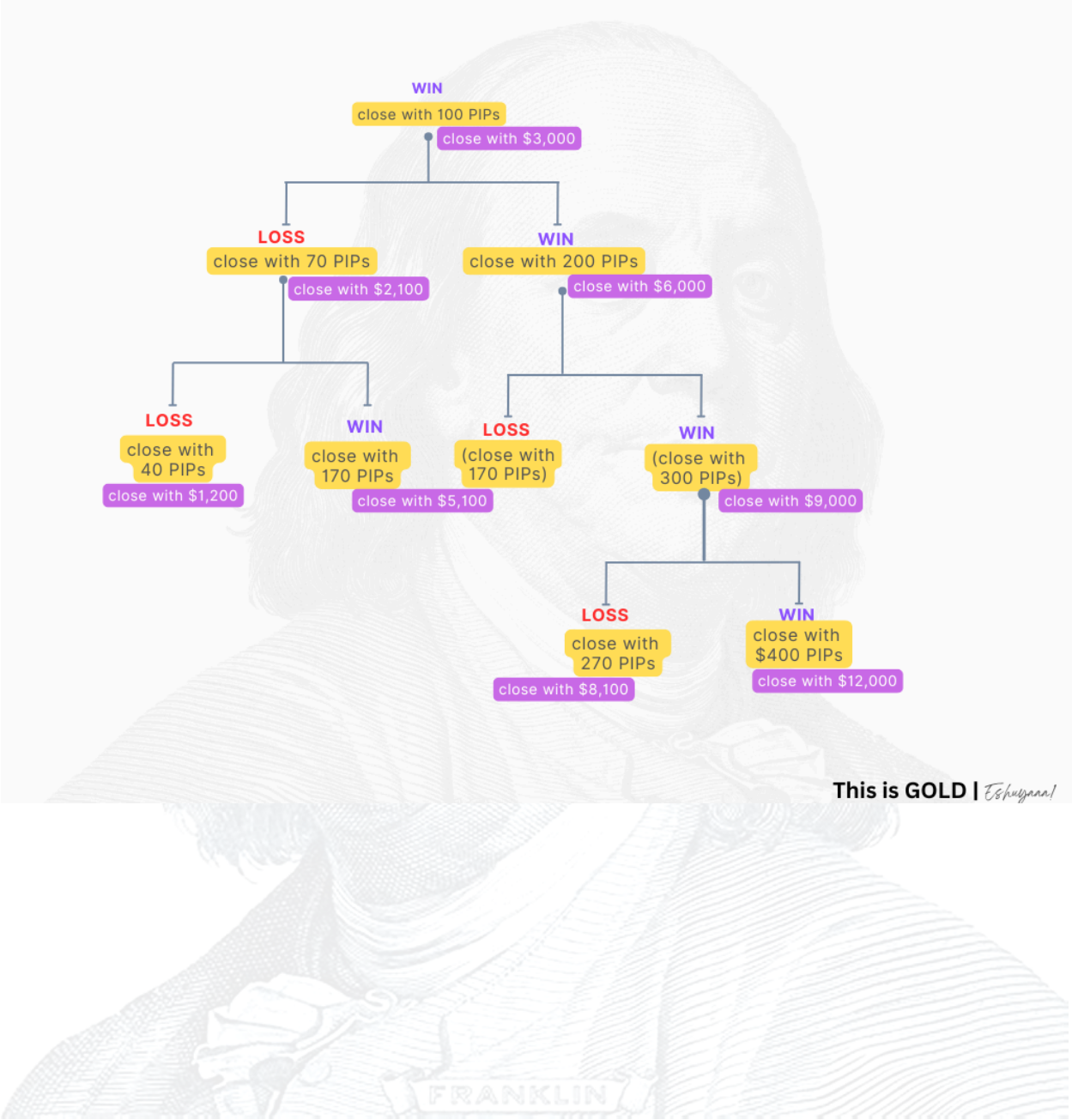
Probability case 1: Win (W) (First Trade of the Day)

If your 1st trade is a win, it gives you a high chance of closing with a profitable day, or worst case, a breakeven (BE) day. Here, don't accept closing the day with losses.

After 1st trade as a win, you need 3 consecutive losses to record a BE day.

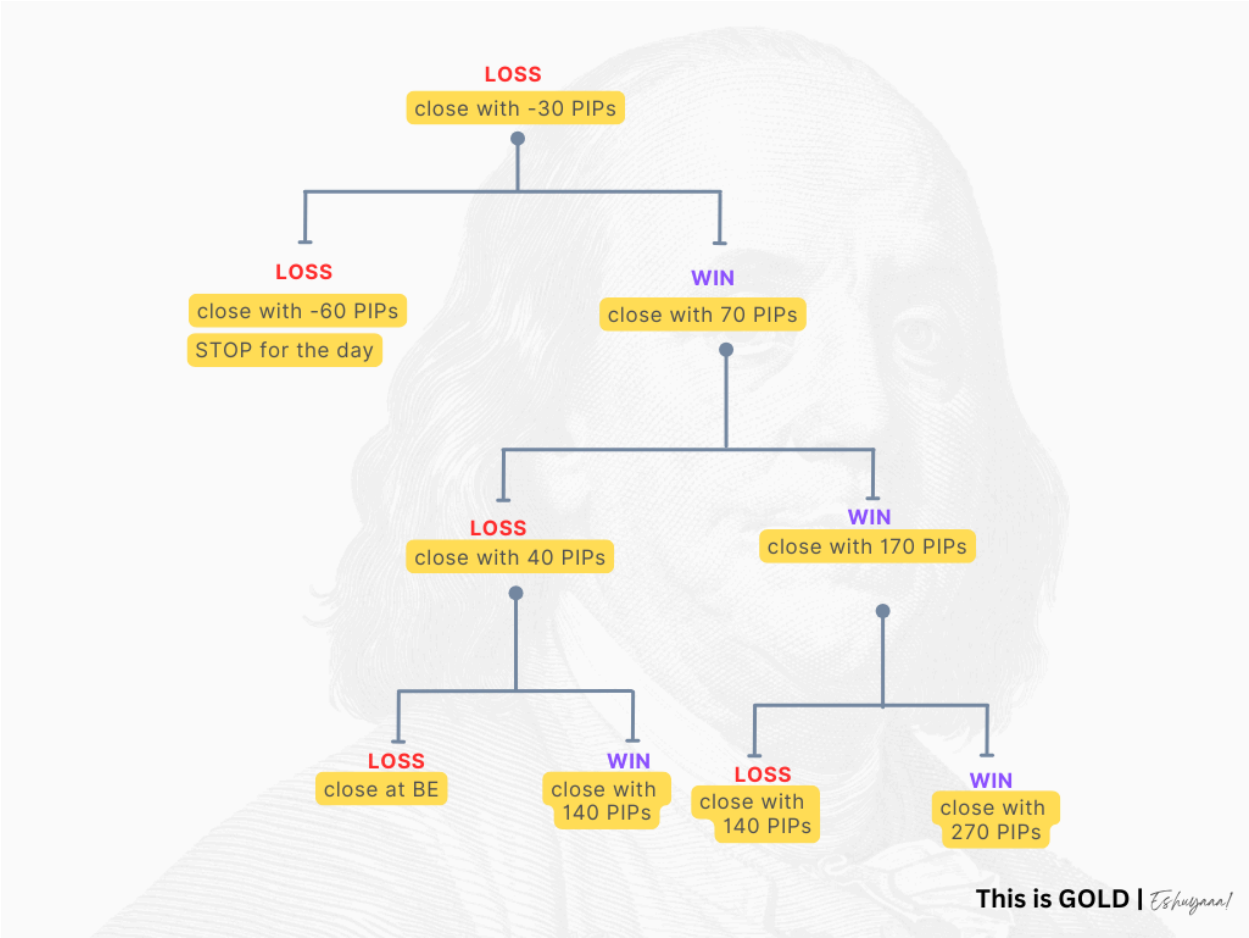


Example: 200,000 USD FTMO SWING ACCOUNT (3.0 LOT = Appr. 0.5%)

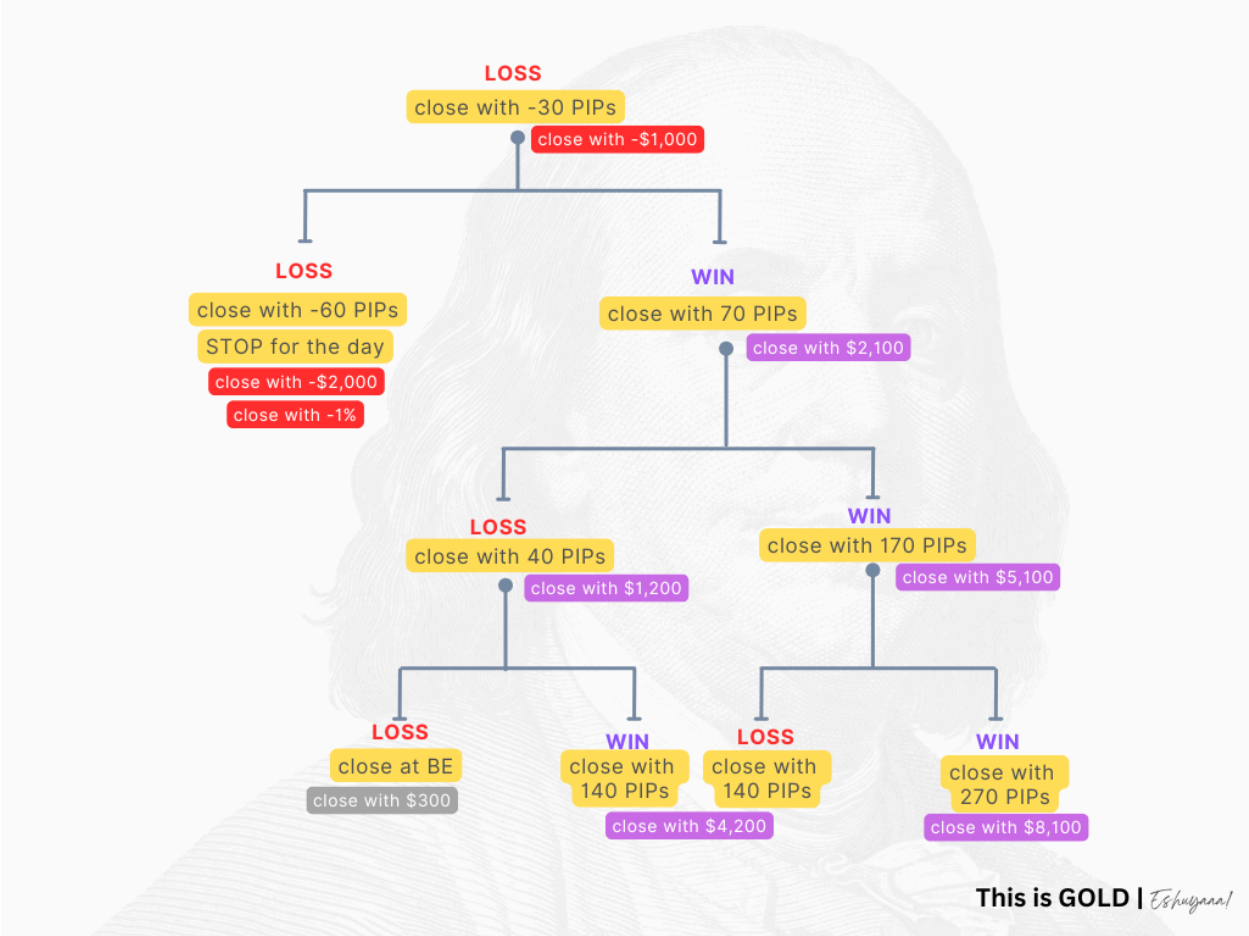


Probability case 2: Loss (L) (First Trade of the Day)

The maximum loss you should incur in a day is 1%. If your 1st trade of the day is a loss, and the 2nd one you record a loss again, then it's recommended you wait for the next day.



Example: 200,000 USD FTMO SWING ACCOUNT (3.0 LOT = Appr. 0.5%)



SECTION II - Personal Accounts

This section is ideal if you are trading account(s) below 1K USD

1. Beginner Trader

If you're a beginner trader, and your account is below 1,000 USD, use the least lot size on XAUUSD (0.01).

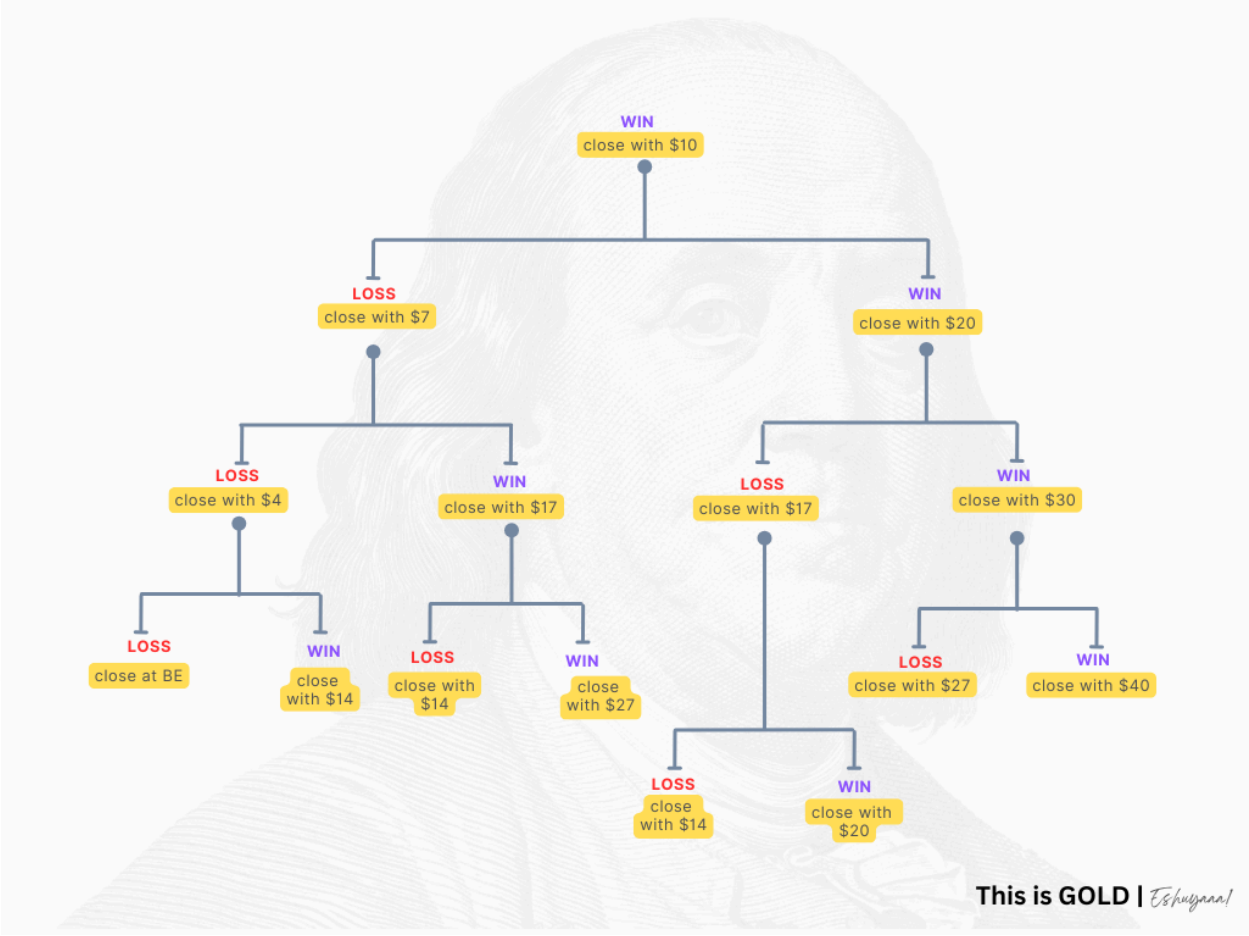
Example, 100 USD Equity

SL = 30 PIPs
TP = 100 PIPs

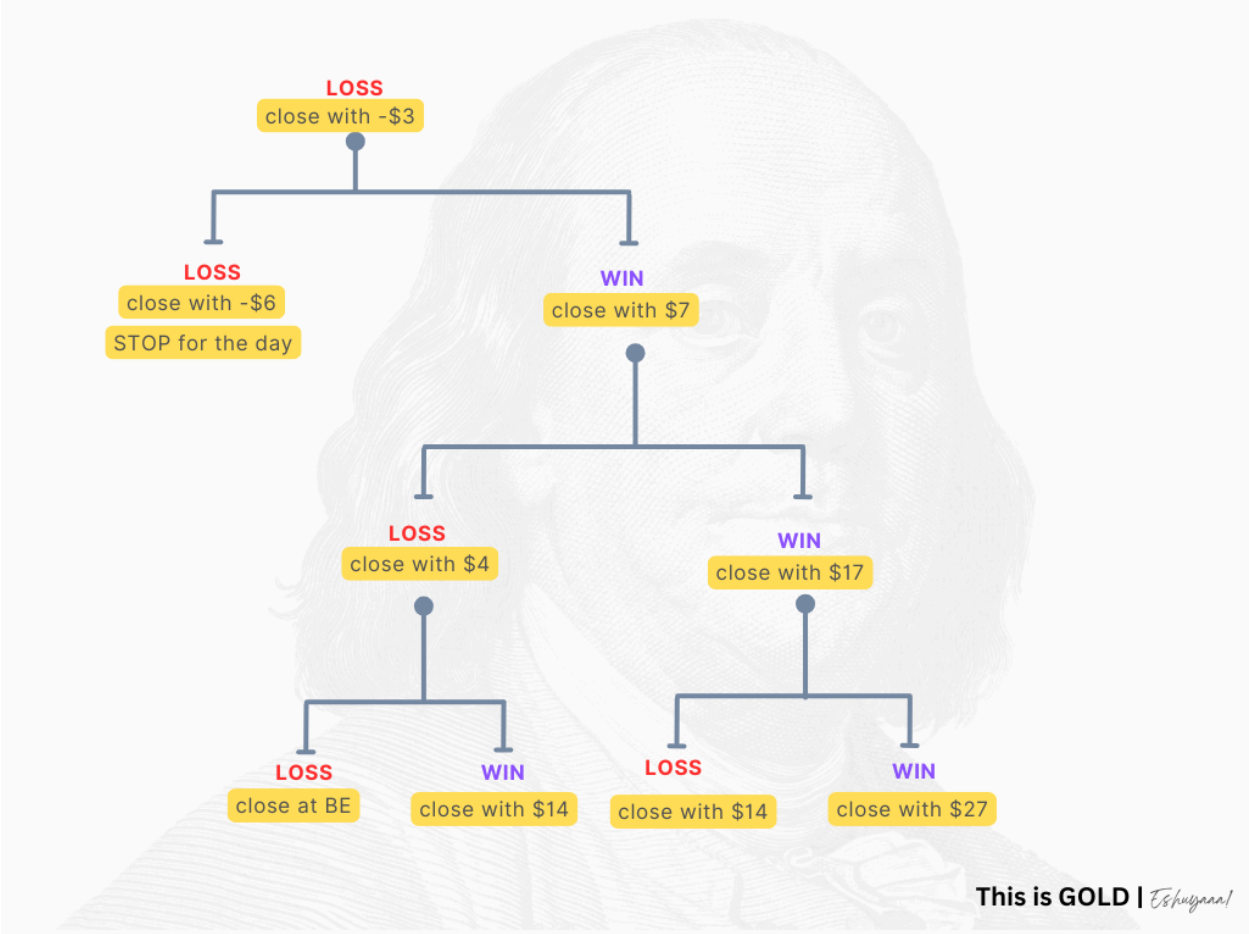
This means, you need 33 setups on a losing streak to blow your account.

On the other hand, you need 10 setups on a winning streak to flip your account.

Probability case 1: Win (W) (First Trade of the Day)



Probability case 2: Loss (L) (First Trade of the Day)



2. Intermediate Trader

If you're an intermediate trader and you already have a strategy, you can do a lot size increment challenge.

Lot size increment challenge can be done in many ways:

Example 1: Increase lot by 0.01 after 30%+ win rate

Out of 10 trades, if your in rate is above 30%, this means you are profitable (in line with DRIVE strategy), then you can go to the next lot size.

If your win rate is less than 30%, then redo the same lot size.

You can also set your own rule(s), not necessarily to be 30% pass mark!

	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	Win rate
0.01											
0.02											
0.03											
0.04											
0.05											
0.06											
0.07											
0.08											
0.09											
0.1											

The Power of 1:3 Risk Reward

#	1st	2nd	3rd	4th	5th	6th	7th	8th	9th	10th	W	L	P&L	Win rate
1	✔	✔	✔	✔	✔	✔	✔	✔	✔	✔	30	0	30	100%
2	✔	✔	✔	✔	✔	✔	✔	✔	✔	✖	27	-1	26	90%
3	✔	✔	✔	✔	✔	✔	✔	✔	✖	✖	24	-2	22	80%
4	✔	✔	✔	✔	✔	✔	✔	✖	✖	✖	21	-3	18	70%
5	✔	✔	✔	✔	✔	✔	✖	✖	✖	✖	18	-4	14	60%
6	✔	✔	✔	✔	✔	✖	✖	✖	✖	✖	15	-5	10	50%
7	✔	✔	✔	✔	✖	✖	✖	✖	✖	✖	12	-6	6	40%
8	✔	✔	✔	✖	✖	✖	✖	✖	✖	✖	9	-7	2	30%
9	✔	✔	✖	✖	✖	✖	✖	✖	✖	✖	6	-8	-2	20%
10	✔	✖	✖	✖	✖	✖	✖	✖	✖	✖	3	-9	-6	10%

Example 2: Weekly challenge

WEEK #	Level I - Slow to Aggressive	Level II - Aggressive
1	0.01	0.1
2	0.02	0.2
3	0.03	0.3
4	0.04	0.4
5	0.05	0.5
6	0.06	0.6
7	0.07	0.7
8	0.08	0.8
9	0.09	0.9
10	0.1	1

If you're still not sure of your strategy, you can try the Monthly challenge, since weekly looks more aggressive.

If you close a week with **BE** or losses, don't go to the next lot size, maintain the same lot size you used last week.

3. Expert Trader

Here, you can try doing challenges with different account sizes.

Example:

	Level I - Slow to Aggressive	**Level II - Aggressive**
1st	10 to 1K	100 to 10K
2nd	20 to 2K	200 to 20K
3rd	30 to 3K	300 to 30K
4th	40 to 4K	400 to 40K
5th	50 to 5K	500 to 50K
6th	60 to 6K	600 to 60K
7th	70 to 7K	700 to 70K
8th	80 to 8K	800 to 80K
9th	90 to 9K	900 to 90K
10th	100 to 10K	1000 to 100K

SECTION III - DRIVE Strategy Summary

Smart Money DRIVE

Direction

- MONTHLY - Long-Term Direction
- WEEKLY - Main Direction
- DAILY - Short-Term Direction

Range

- H4 Swing High/Low
- H4 Market Structure
- H4 Directional Order Blocks: DM, BE, AMD, and Vol. IMB

Interest POInt

- ✔ WK - D1 - H4 SNR
- ✔ WK, D1 & H4 alignment

Value of Risk

- Setup - 1:3 RR
- Risk - 30 PIPs, Target 100 PIPs
- Risk 0.5% of your account per Trade
- Max. Loss per Day - 1%

Execution

- HTF Confirmation
- LTF Entry Pattern
- HTF vs LTF Confluences
- Entry Models

https://t.me/KenneDynespot